The 10x Value Proposition Test

If you're not 10x better on at least one dimension, you're a feature, not a company.

The Thiel Question

Peter Thiel asks every startup: "Can you make something 10x better than what exists?"

Not 10% better. Not twice as good. 10x. Because switching costs are real — people won't abandon their current solution for something marginally better. They need a reason so overwhelming that the pain of switching is dwarfed by the value of the new thing.

The Test (Score Yourself Honestly)

Gate 1: Can you state it in under 10 words?

Write your value proposition here: _____

If you need more than 10 words, you don't understand it well enough yet. Iterate until you can say it in a sentence a child would understand.

Examples that pass: - "Accept payments in 7 lines of code" (Stripe) - "Stay in someone's home instead of a hotel" (Airbnb) - "All your work tools in one app" (Notion) - "Code faster with AI pair programming" (Cursor)

Examples that fail: - "An AI-powered platform leveraging machine learning to optimize..." - "A comprehensive solution for enterprise workflow management..."

Gate 2: What dimension are you 10x on?

Pick ONE. You can only be 10x on one dimension. Trying to be 10x on everything means you're 1x on everything.

Dimension	10x means…	Example
Speed	Task that took hours now takes seconds	Cursor (coding), Midjourney (design)
Cost	90% cheaper than alternatives	Canva vs. hiring a designer
Access	Available to people who were locked out before	Stripe (payments for indie devs), Airbnb (affordable travel)
Quality	Dramatically better output	GPT-4 vs. template-based chatbots
Simplicity	90% less complexity to get the same result	Stripe’s 7 lines vs. competitors’ 7 API calls
Scale	Handles 10x more volume/users/data	Cloud computing vs. on-premise servers

Your 10x dimension: _____ **Your proof:** _____

If you can’t fill in the proof line with a specific, measurable claim, your 10x is imaginary.

Gate 3: The Switch Test

> *“Would a user abandon their current solution — with all the switching costs, habits, and inertia — to use yours?”*

To pass, you need ALL of these: - [ ] You can name the specific thing they’re switching FROM - [ ] You can articulate why switching is worth the pain - [ ] At least 3 out of 5 interviewees said “yes, I would switch” after SEEING (not hearing about) your product - [ ] At least 1 person has actually switched (actions > words)

Gate 4: The 60-Second Demo

Can you demonstrate the 10x value in under 60 seconds? Not explain it — SHOW it.

Set a timer. Show someone your product. If they don’t say “whoa” or “wait, how did you do that?” or “can I use this right now?” within 60 seconds, your 10x isn’t visible enough.

This is the Karpathy rule: If the value requires a tutorial, onboarding flow, or explanation, it’s not 10x. 10x value is self-evident.

Scoring

Gates Passed	Verdict
4/4	**Ship it.** You have a 10x value prop. Now execute.
3/4	**Almost.** Identify which gate you failed and fix ONLY that.
2/4	**Pivot the solution.** The problem might be right but your approach isn't 10x.
0-1/4	**Pivot the problem.** You're solving something that doesn't need a 10x solution, or doesn't need solving at all.

The AI-Specific 10x Check

If you're building an AI product, add this bonus gate:

Gate 5: The "Smart Intern" Test (Karpathy)

> *"Would a smart intern with access to Google accomplish the same thing in the time your user is willing to wait?"*

- If the task takes 5 minutes for an intern → AI needs to do it in 5 seconds (100x speed) OR do it at 10x quality.
- If the task takes 1 hour for an intern → AI can take 5 minutes and still be 10x.
- If the task takes 1 week for an intern → You might have something, even if the AI takes a full day.

The key variable is **what the user's time is worth** and **how often they face this task.**

A lawyer billing €400/hour who faces a 2-hour research task 3x per week? AI that does it in 10 minutes at 80% accuracy = massive value.

A student who formats a resume once per year? AI that does it slightly faster = not a company.

Run This Test Every Two Weeks

Your 10x can degrade. Competitors catch up. Customers’ expectations shift. Base models improve and eat your moat. Re-run this test every time you feel comfortable. Comfort is a warning sign.